

pattern recognition software to find crabs. If you want the one I used, it's available for free at my website: www.ThePatternSite.com.

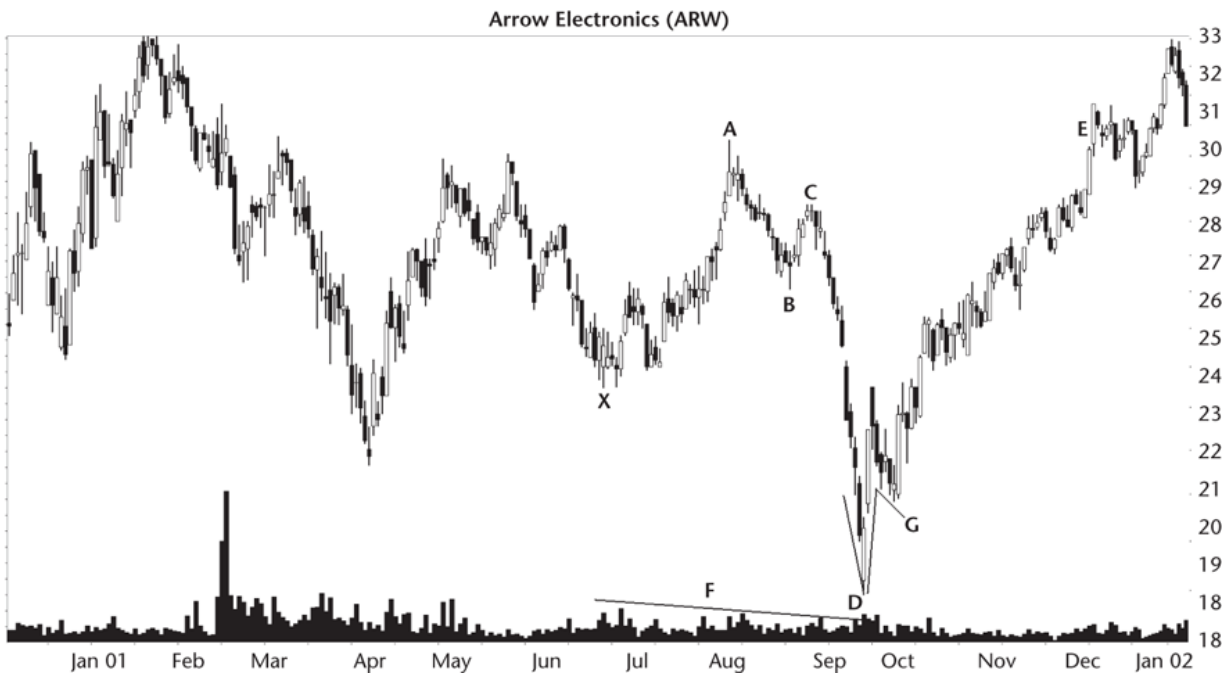


Figure 20.1 This bullish crab forms an extended V-bottom at turn D.

Volume (F) slopes downward in this example, and that's unusual because it happens once every three crabs. Even so, we'll see that an upward volume trend in bull markets can improve performance by a few percentage points.

At D, price reaches the end of the crab, forming a V-bottom pattern with an extension (G) in this example (that is, an extended V-bottom chart pattern). The stock makes a dramatic and wallet/purse-filling rise to E where an upward breakout occurs (a close above the high price of turn A constitutes an upward breakout). Unfortunately, the stock runs out of steam and price collapses, but only for a few weeks before the stair-step rise resumes.

Identification Guidelines

Table 20.1 shows identification guidelines for crabs. Refer to **Figure 20.2** for a visual. I show the bullish crab as turns XABCD. Volume slopes upward (E) as measured using linear regression from point X to D (the start and end of the crab). This crab breaks out upward at F when price closes